

Exam 1 Grading Criteria – Econometrics

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Most common mistakes:

1a: -0.1 if defined matrix W in incorrectly.

1b: -0.35 if does not mention the OLS estimator

1d: -0.25 if does not mention that the Local Linear is better at boundaries.

2a: -0.2 or -0.3 if was not specific about the problem's setup

2c: -0.2 if did not write the correct inequalities for the confidence region.

3a: -0.5 if only argued that the given process is a ARMA(1,1)

3b: -0.5 if did not show that the process in (ii) is a stationary AR(2)

4a: -0.1 if did not used the fact that Θ_L is invertible.

4b: -0.15 or -0.25 if was not specific about the parameters needed.

5a: -0,25 if did not get to the correct formula.

5b: -0,25 if incorrectly derived the optimal weighting matrix.

5d: -0,15 if not detailed enough over the HAC estimator